



Current Views

Short NZDJPY @ 88.55

Stop loss 90.26

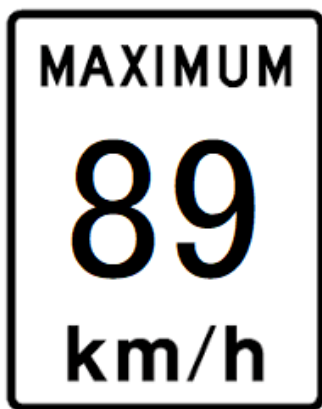
Take profit 86.01

Long AUDNZD @ 1.0954

Stop loss was 1.0834

now 1.0923

Take profit 1.1111



The ratio of miles to kilometers (1.609) is close to the golden ratio (1.618) and so you can convert miles to km or vice versa by moving between successive numbers on the Fibonacci sequence

Big Levels

USDCAD comes up against two idiosyncratic risks and a big support level. EURUSD is moving into thin air.

CAD

USDCAD is selling off even as CAD underperforms many of its peers. We are now approaching the critical 1.3600 level again, after a flashy move up into the mega range top during the early August Carrypocalypse. Here's the wide-angle lens:



And here's what we see if we zoom into this year's action.



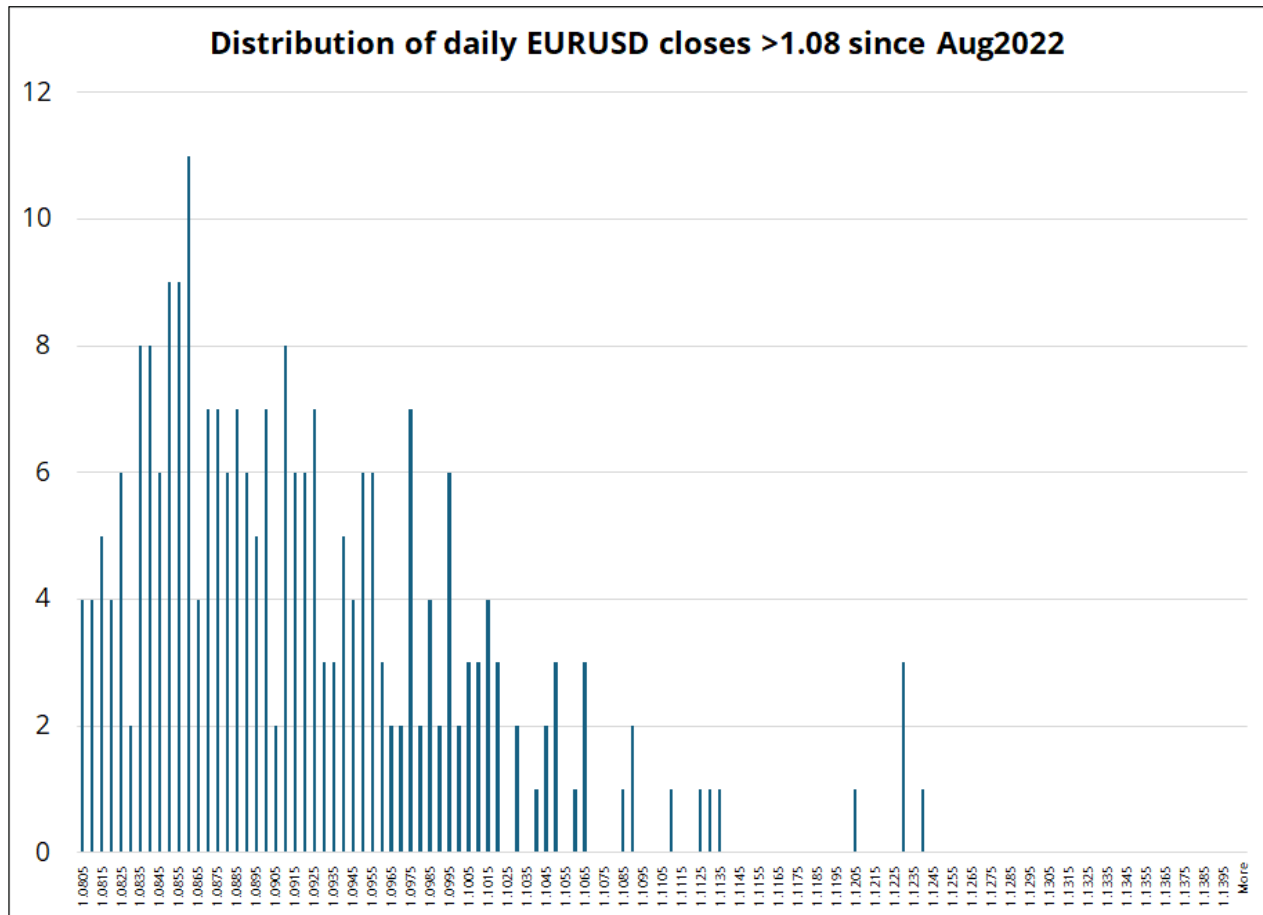
You can see 1.3600 has been quite a level as it was the ceiling in March and April and became the floor in May, June, and again in July. Now we are back down here despite two potentially meaningful idiosyncratic CAD-bearish factors lurking.

1. [Couche-Tard in talks to buy 7-11](#). At \$31B US, this would be the largest inbound M&A Japan has ever seen. There are many ifs and buts involved here as the deal could face US antitrust scrutiny, the financing might not be all cash and thus might not be all LHS CADJPY. Still, there would be enormous FX risk for Couche-Tard if they were to finance by selling JPY-denominated debt and these deals tend to be focused on the business synergy and revenue expansion side of the equation, not fancy financial engineering. Very often, deals like this are done with big slugs of cash.
2. Canadian rail workers are getting [set to go on strike](#). Here's a [quick article](#) about the possible economic impacts. Workers at CP have served strike notice that would see them walk off the job as of 12:01 a.m. ET on Thursday, while CN has said it intends to lock out workers at the same time unless an agreement or binding arbitration is achieved. This is a maybe for now as the government may intervene or the workers might come to an agreement. But if it happens, it's not great.

These factors are worth keeping on your radar and while the entry points in cross/CAD are not good enough to justify a trade, I would definitely not be long CAD right now (against anything) as these two stories pose idiosyncratic risk to the loon over the next few weeks. Especially as we approach the critical 1.3600 level again.

Showtime for EURUSD

Much like USDCAD, the euro is right at a huge level as we have closed above 1.1100 just nine times in the past two years. We have only closed above 1.1130 five times in the last two years. We are in rarified air.





Final Thoughts

There were a few articles going around last night about the release of the papers from the BOJ workshops. This article in particular got some attention: [Bloomberg: Research notes indicate interest rate hike is still on table](#).

I would just note that the BOJ research paper referenced ([see here](#)) is a discussion of workshops held on May 21, 2024. Given those workshops were well before the BOJ hiked, I can't see how they are much relevant to current discussions. They could have simply been the justification for the last rate hike—they don't necessarily indicate anything about future rate hikes. The BOJ note is super big picture and covers discussions held three months ago.

Finally, Kiwi is ripping, much to my chagrin. I will stick to the parameters outlined in the sidebar.

See following pages for the Spectra FX Weekly Positioning Report.

Have a golden day.

good luck ↑↓ be nimble

The Spectra FX Positioning and Momentum Report

Flipping Yen

Hi. Welcome to this week's report. There has been a complete 180 in many metrics over the past few weeks as the CFTC has exited mega short JPY positions and now flipped long. USD momentum has been extremely bearish of late as we slow-motion crash up towards the top of the EURUSD range. Key levels in EURUSD are heavy in the 1.1100/1.1130 zone.

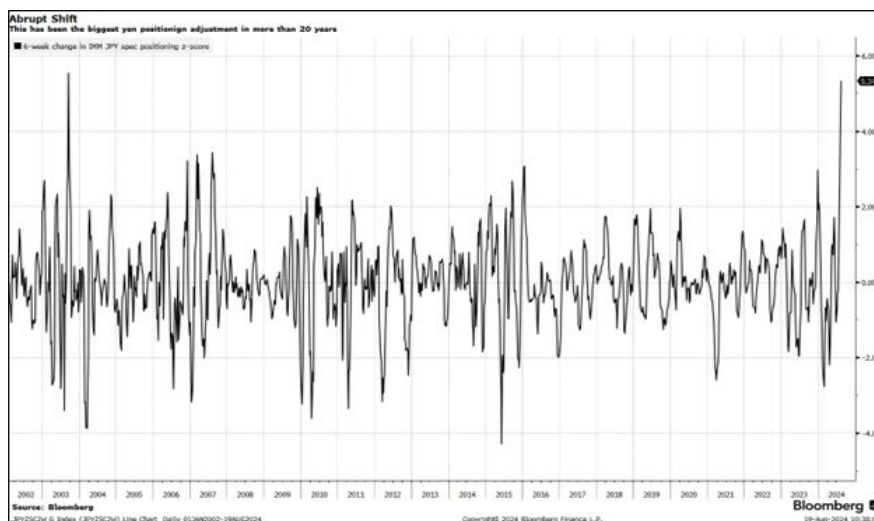
In lieu of the normal write up this week, I am excerpting from Cameron Crise's excellent piece this week because it captures the yen flip nicely and makes some interesting observations about future performance of various securities after a multi-sigma posssy flip. The following excerpt is provided with Cam's permission.

Huge Futures Position Changes Usually Seem to Work: Macro Man

<https://blinks.bloomberg.com/news/stories/SIGS3CDWX2PS>

By Cameron Crise

It's funny to see how various rate-sensitive market prices have diverged on Monday, with the yen in particular following the abrupt shift in IMM positioning. If history is any guide, then USD/JPY (and especially NZD/JPY) could keep falling further.



While the nominal speculative position in IMM futures is now somewhat long yen, the adjustment over the past six weeks has been nearly 5 and a half standard deviations, using a two-year look-back window.

That's the most abrupt position-shift since September of 2003.

The obvious question is "what happened next?"

Well, it was a very different world back then, and that period coincided with what we might call the beginning of the “dollar going down forever” theme. This saw USD/JPY fall sharply over the ensuing months, though losses were tempered by strong a BOJ/MOF bid at 105. Ironically enough, Japan’s authorities may have taken profit on some of those purchases in some of its recent dollar-selling activity.



More broadly, though, I was curious about how often we see huge futures positions adjustments that shift the z-score by 5 standard deviations or more over a six-week window. That’s admittedly an arbitrary set of criteria, and assessing futures positions can be a little tricky.

As discussed recently, in FX they represent only a small cohort of total market participants, whereas in bond futures they capture basis trades, equity and commodity markets capture hedging activity, etc. Anyhow, the table below sets out extreme shifts in futures-positioning z-scores over a 6-week span back to 2002.

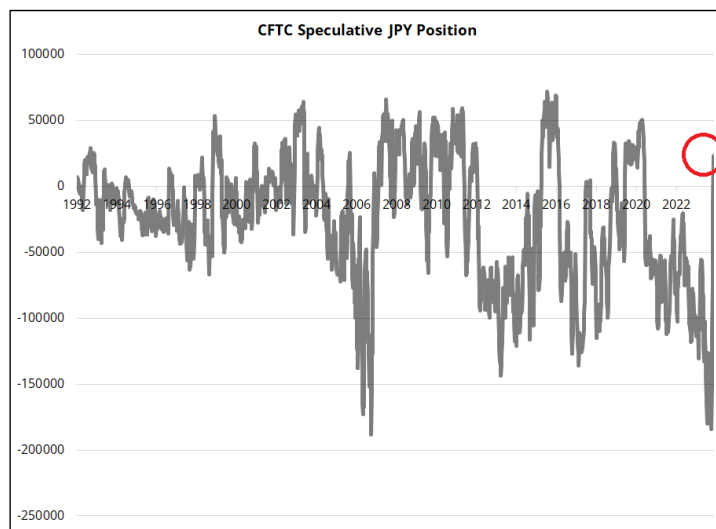
CONTRACT	DATE	Z-SCORE CHG	OUTCOME
EUR IMM	12/14/2004	-6.31	EUR - 4% OVER NEXT 2M
AUD IMM	4/9/2002	5.17	AUD + 8% OVER NEXT 2M
NZD IMM	8/22/2006	6.64	NZD +6% OVER NEXT 3M
TY	1/3/2017	-5.04	YIELD RANGEBOUND OVER 3M
NQ	9/22/2020	-5.96	UP THEN DOWN BEFORE ELECTION
NQ	11/3/2020	5.76	+20% IN 3M
DOW	1/2/2024	5.4	+5% IN 3M
RTY	6/21/2005	-5.38	RTY +7% BY EARLY AUG
VIX	7/31/2012	-5.11	VIX NEVER HIGHER OVER 3M

On balance, the price action has tended to follow the direction of the big positioning shift. That bodes ill for the likes of NZD/JPY, as the kiwi futures position has dropped by just over 5 sigma over the last six weeks as well. Granted, the sample size of the study above is not particularly large, but the only time when the price action clearly moved against the positioning was a Russell 2000 rally nearly 20 years ago.

Thanks for reading this week's positioning report and thanks be to Cam for his insights!

At right I show the updated chart of CFTC JPY positioning:

Full positioning and momentum data on the next page.

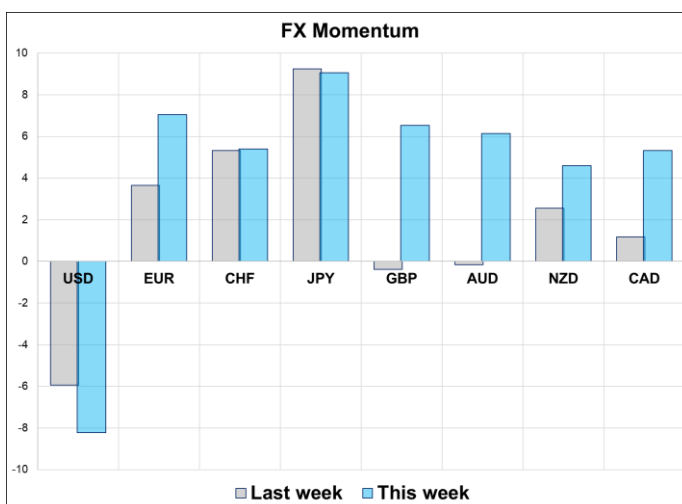
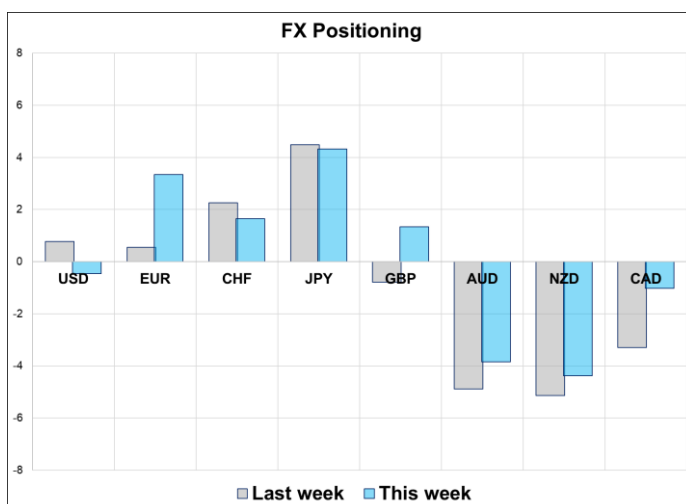


G10 FX Positioning and Momentum Scores

All scores -10 to +10 scale, all currencies vs. USD (that is: JPY means yen, not USDJPY)

Summary scores								
	USD	EUR	CHF	JPY	GBP	AUD	NZD	CAD
Positioning	0	3	2	4	1	-4	-4	-1
Momentum	-8	7	5	9	7	6	5	5

Positioning and Sentiment								
	USD	EUR	CHF	JPY	GBP	AUD	NZD	CAD
CFTC Level (% of OI)	2	-1	-6	4	7	-5	-7	-10
CFTC 4-Week Change	2	1	7	10	-9	-9	-10	-5
Daily Sentiment Index	-1	2	1	3	0	-5	-2	4
Risk Reversal (1-month lookback)	-4	9	4	1	0	0	1	10
Risk Reversal (6-month lookback)	-1	10	9	9	-2	-8	-8	0
Spectra FX Positioning	-2	1	0	1	3	2	-1	0
Momentum								
	USD	EUR	CHF	JPY	GBP	AUD	NZD	CAD
RSI	-9	9	6	8	8	8	6	8
Deviation from 20-Day	-8	7	4	9	6	8	7	7
Deviation from 100-Day	-7	5	6	10	5	3	1	2



miles	kilometers
2	3
3	5
5	8
8	13
13	21
21	34
34	55
55	89
89	

Neat.

<https://catonmat.net/fibonacci-miles-kilometers>

[Click here to subscribe to am/FX](#)

Markets and Trading Commentary Disclaimer

This material has been provided by Spectra Markets, LLC ("Spectra Markets"). This material is confidential and therefore intended for your sole use. You may not reproduce, distribute, or transmit this material or any portion thereof to anyone without prior written permission from Spectra Markets.

This material is solely for informational and discussion purposes only. Spectra Markets is not a registered investment advisor or commodity trading advisor. This material should not be viewed as a current or past recommendation or an offer to sell or the solicitation to enter into a particular position or adopt a particular investment strategy. Spectra Markets does not provide, and has not provided, any investment advice or personal recommendation to you in relation to any transaction described in this material. Accordingly, Spectra Markets is under no obligation to, and shall not, determine the suitability for you of any transaction described in this material.

To be clear: Your individual circumstances have not been assessed. You must determine, on your own behalf or through independent professional advice, the merits, terms, conditions, risks, and consequences of any transactions described in this material. Securities described in this material may not be eligible for sale in all jurisdictions or to certain categories of investors. This material may also contain information regarding derivatives and other complex financial products. Do not invest in such products unless you fully understand and are willing to assume the risks associated with such products. Neither Spectra Markets nor any of its directors, officers, employees, representatives, or agents, accept any liability whatsoever for any direct, indirect, or consequential losses (in contract, tort or otherwise) arising from the use of this material or reliance on information contained herein, to the fullest extent allowed by law.

The opinions expressed in this material represent the current, good faith views of the author at the time of publication. Any information contained in this material is not and should not be regarded as investment research or derivatives research as determined by the U.S. Securities and Exchange Commission ("SEC"), the U.S. Commodity Futures Trading Commission ("CFTC"), the Financial Industry Regulatory Authority ("FINRA"), the National Futures Association ("NFA") or any other relevant regulatory body. The author is currently employed at a trading desk. The opinions may not be objective or independent of the interests of the author. Additionally, the author may have consulted with various trading desks while preparing this material and a trading desk may have accumulated positions in the financial instruments or related derivatives products that are the subject of this material.

Spectra Markets does not guarantee the accuracy, adequacy or completeness of the information presented in this material. Past performance and simulation data do not necessarily indicate future performance. Predictions, opinions, and other information contained in this material are subject to change continually and without notice of any kind and may no longer be true after the date indicated. Any forward-looking statements speak only as of the date they are made, and Spectra Markets assumes no duty to and does not undertake to update forward-looking statements. Forward-looking statements are subject to numerous assumptions, risks, and uncertainties, which change over time. Actual results could differ materially from those anticipated in forward-looking statements. The value of any investment may also fluctuate as a result of market changes.

Spectra Markets is affiliated with Spectra FX Solutions LLC, an introducing broker that is registered with the NFA; Spectra FX Solutions LLP, which is a registered entity with the U.K.'s Financial Conduct Authority; and SpectrAxe, LLC, a swap execution facility that is registered with the CFTC. The disclosures for Spectra FX Solutions LLC and Spectra FX Solutions LLP related to the separate businesses of Spectra FX can be found at <http://www.spectrafx.com/>.